

High base effect: On a shrinking trade deficit, rising exports

A **shrinking trade deficit**, as seen in February, **is** no cause for **cheer**

India's goods trade in February saw its steepest decline in nearly two years. Exports fell by 10.9% to \$36.91 billion, while imports dropped 16.3% to \$50.96 billion, **resulting in** the smallest trade deficit in over three years (42 months) at \$14 billion. While a shrinking trade **deficit driven** by rising exports **would** have been a positive **development**, the **simultaneous decline** in exports and imports **is** a cause for concern. Experts partly **attribute** this narrowing deficit **to** a high base effect, as **exports** in February last year, a leap year, **stood** at \$41.4 billion and imports at \$60.92 billion. However, exporters also report a trend of American importers **holding back on** orders, fearing the reciprocal tariffs **set to take effect** on April 2, as announced by U.S. President Donald Trump on February 13. This announcement came just before his meeting with Prime Minister Narendra Modi, where they **unveiled** an **ambitious** plan to boost **bilateral** trade to \$500 billion by 2030 and finalise a **free trade agreement** (BTA) in the months ahead. Despite Commerce Minister Piyush Goyal's diplomatic **outreach** to U.S. Commerce Secretary Howard Lutnick this month, discussions **yielded** little beyond a **commitment** to continue BTA negotiations. The **looming** threat of **reciprocal** tariffs has **unsettled** Indian exporters, as the U.S. is India's second-largest trading partner, **accounting for** \$118.3 billion in trade last **fiscal year**. It is also the only country among India's top five trading partners with which India enjoys a trade surplus.

Imports also declined sharply, led by a 62% **plunge** in gold imports compared to last February. This drop is linked to domestic gold prices surging to ₹87,886 per 10 grams last week, **dampening** consumer demand. Oil imports also fell nearly 30% as India diversified its supply sources in response to additional U.S. **sanctions** on Russian oil producers and tankers in early January. By mid-2023, Russia accounted for over 40% of India's crude imports, a significant increase from less than 1% before western sanctions on Moscow **following** its 2022 **invasion** of Ukraine. If Washington moves to **neutralise** its trade deficit with New Delhi, India could face a 15% widening in its overall trade deficit, based on last fiscal year's \$241 billion shortfall. India must diversify its goods and services trade to reduce its heavy **reliance on** the U.S. Two **potential** markets are China and the U.K. While **imports** from China **have** contributed to about a third of India's trade deficit for over five years, India's **trade imbalance** with the U.K. accounted for less than 3% of its total deficit last fiscal year. The free trade agreement negotiations with the U.K. are an opportunity for India to shift this balance in its favour.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

[Practice Exercise]

Vocabulary

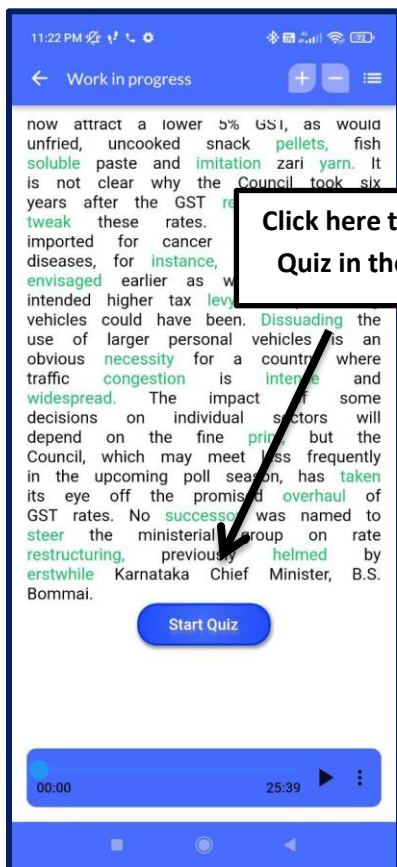
1. **Base effect** (noun) – the effect that the choice of a reference point when comparing two data points can have on the result of the comparison. आधार प्रभाव
2. **Shrinking** (adjective) – Declining, Reducing, Contracting, Diminishing, Decreasing गिरता हुआ
3. **Trade deficit** (noun) – It occurs when a country imports more goods and services than it exports, resulting in a negative balance of trade व्यापार घाटा
4. **Cheer** (noun) – Celebration, Joy, Happiness, Delight, Jubilation उत्साह
5. **Result in** (phrasal verb) – Lead to, Cause, Bring about, Produce, Generate परिणाम होना
6. **Drive** (verb) – Propel, Push, Motivate, Spur, Encourage प्रेरित करना
7. **Development** (noun) – Event, happening, occurrence, change घटनाक्रम
8. **Simultaneous** (adjective) – Concurrent, Synchronous, Coinciding, Parallel, Simultaneous एक साथ
9. **Attribute** (to) (verb) – Ascribe, Credit, Assign, Associate, Impute जिम्मेदार ठहराना
10. **Hold back on** (phrase) – Delay, Restrain, Withhold, Hesitate, Refrain रोकना
11. **Set** (to) (verb) – Prepare, Arrange, Fix, Schedule, Plan तैयार करना
12. **Take effect** (phrase) – Become active, Come into force, Start, Operate, Implement लागू होना
13. **Unveil** (verb) – Reveal, Introduce, Launch, Present, Disclose प्रकट करना
14. **Ambitious** (adjective) – Aspiring, Bold, Determined, Driven, Enterprising महत्वाकांक्षी
15. **Bilateral** (adjective) – Two-sided, Mutual, Reciprocal, Joint, Collaborative द्विपक्षीय
16. **Free trade agreement** (FTA) (noun) – an agreement between two or more countries to reduce or eliminate trade barriers like tariffs and quotas, fostering increased trade and economic integration मुक्त व्यापार समझौता
17. **Outreach** (noun) – Engagement, Communication, Interaction, Connection, Involvement संपर्क
18. **Yield** (verb) – Produce, Generate, Provide, Deliver, Bear परिणाम देना
19. **Commitment** (noun) – Dedication, Pledge, Promise, Obligation, Assurance प्रतिबद्धता
20. **Looming** (adjective) – Impending, Approaching, Forthcoming, Imminent, Upcoming मंडराता

21. **Reciprocal** (adjective) – Mutual, Corresponding, Equivalent, Exchange, Bilateral पारस्परिक
22. **Unsettle** (verb) – Disturb, Disrupt, Agitate, Upset, Shake अस्थिर करना
23. **Account for** (phrasal verb) – Represent, Comprise, Constitute, total, form बनाना
24. **Fiscal year** (noun) – It start from 1 April to 31 March वित्तीय वर्ष
25. **Plunge** (noun) – Drop, Fall, Decline, Crash, Dip गिरावट
26. **Dampen** (verb) – Reduce, Diminish, Lessen, Suppress, Weaken कम करना
27. **Sanction** (noun) – Penalty, Restriction, Embargo, Punishment, Ban प्रतिबंध
28. **Following** (preposition) – After, Subsequent to, In the wake of, Post, Behind के बाद
29. **Invasion** (noun) – Attack, Incursion, Assault, Occupation, Infiltration आक्रमण
30. **Neutralise** (verb) – Counteract, Offset, Balance, Nullify, Cancel out निष्प्रभावी करना
31. **Reliance** (on) (noun) – Dependence, Trust, Confidence, Faith, Support निर्भरता
32. **Potential** (adjective) – Possible, Likely, Prospective, Promising, Feasible संभावित
33. **Trade imbalance** (noun) – It occurs when a country's imports exceed its exports, meaning it buys more goods and services from other countries than it sells to them व्यापार असंतुलन

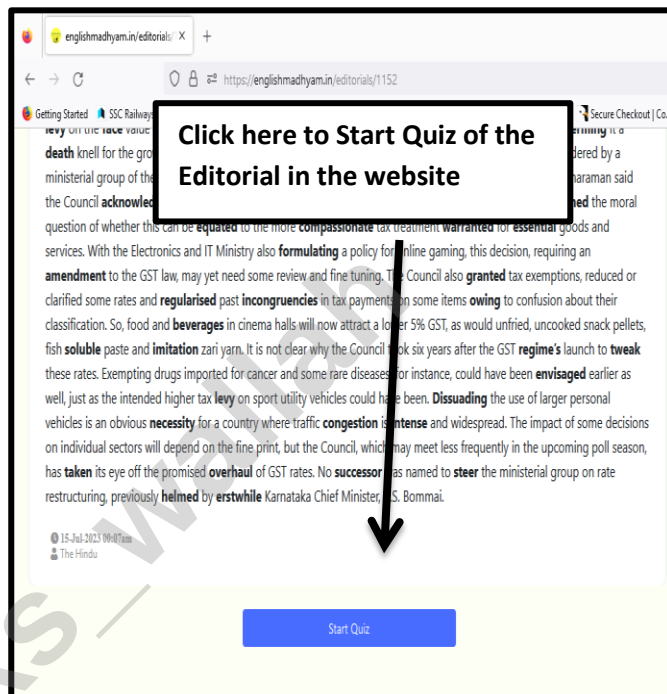
Summary of the Editorial

1. **Shrinking Trade Deficit:** India's trade deficit in February 2023 narrowed to \$14 billion, the smallest in over three years, but this is not necessarily a positive sign.
2. **Decline in Exports and Imports:** Exports fell by 10.9% to 36.91 billion, while imports dropped by 16.336.91 billion, while imports dropped by 16.350.96 billion, indicating a concerning trend.
3. **High Base Effect:** The narrowing deficit is partly attributed to a high base effect, as February 2022 (a leap year) saw higher exports (41.4 billion) and imports (41.4 billion) and imports (60.92 billion).
4. **U.S. Trade Concerns:** American importers are holding back orders due to fears of reciprocal tariffs announced by U.S. President Donald Trump, set to take effect on April 2.
5. **U.S.-India Trade Relations:** The U.S. is India's second-largest trading partner, with bilateral trade worth \$118.3 billion in the last fiscal year, and the only top-five partner with which India has a trade surplus.
6. **Ambitious Trade Goals:** During a meeting between PM Narendra Modi and President Trump, both countries aimed to boost bilateral trade to \$500 billion by 2030 and finalize a free trade agreement (BTA).
7. **Limited Progress on BTA:** Despite diplomatic efforts, discussions between Commerce Minister Piyush Goyal and U.S. Commerce Secretary Howard Lutnick yielded little beyond a commitment to continue BTA negotiations.
8. **Gold Imports Plunge:** Gold imports fell by 62% due to surging domestic prices (₹87,886 per 10 grams), which dampened consumer demand.
9. **Oil Imports Decline:** Oil imports dropped nearly 30% as India diversified its supply sources in response to U.S. sanctions on Russian oil producers and tankers.
10. **Increased Reliance on Russian Oil:** By mid-2023, Russia accounted for over 40% of India's crude imports, up from less than 1% before Western sanctions on Moscow.
11. **Potential Trade Deficit Widening:** If the U.S. acts to neutralize its trade deficit with India, India's overall trade deficit could widen by 15%, based on last fiscal year's \$241 billion shortfall.
12. **Need for Trade Diversification:** India must diversify its goods and services trade to reduce reliance on the U.S., focusing on markets like China and the U.K.
13. **Trade Imbalance with China:** Imports from China contribute to about a third of India's trade deficit, highlighting a significant imbalance.
14. **Opportunity with the U.K.:** India's trade deficit with the U.K. accounted for less than 3% of its total deficit last fiscal year, making it a potential market for rebalancing trade.
15. **Free Trade Agreement with the U.K.:** Ongoing FTA negotiations with the U.K. present an opportunity for India to shift the trade balance in its favor and reduce dependency on the U.S.

Practice Exercise: Banking Pattern Based



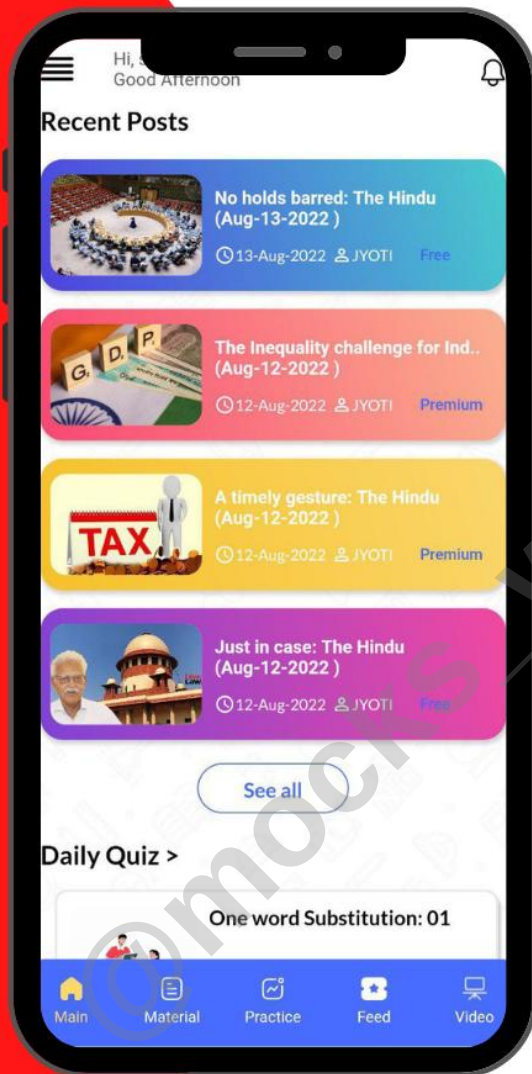
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